

2.2.2 International trade	a) Advantages and disadvantages of free trade, including: • lower prices and increased choice for consumers • lower input costs • wider markets for businesses • foreign competition harming domestic businesses • increasing unemployment. b) Reasons for protection: • prevent dumping • protect employment • protecting infant industries • to gain tariff revenue • protect consumers from unsafe products • reducing current account deficits • retaliation. c) Methods of protection: • tariffs • quotas • subsidies • advantages and disadvantages of each method of protection • supply and demand diagrams to show tariffs, quotas and subsidies. d) Modern trading blocs: • impact of trading blocs on member and non-member countries • examples of trading blocs. e) Role of the World Trade Organization (WTO): • actions by the WTO. f) Trade patterns of developed and developing countries.
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